

CHAPTER 10: KELLY'S HEROES: BET BIG

I can't be involved in 50 or 75 things. That's a Noah's Ark way of investing — you end up with a zoo that way. I like to put meaningful amounts of money in a few things.
— Warren Buffett

THOMAS PHELPS WROTE, “BE NOT TEMPTED TO SHOOT at anything small,” the idea being you want to focus your capital on stocks with the potential to return 100x. You don't want to own a zoo of stocks and ensure a mediocre result.

In this chapter, we explore the idea of concentration in your portfolio.

In Zurich, at the ValueX conference, Matt Peterson of Peterson Capital Management presented the idea of the Kelly criterion. This can get mathematical and wonky, but the basic idea is simple: bet big on your best ideas.

It all began with a man named John L. Kelly Jr. (1923–1965).

Kelly was a Texan, a pilot for the navy in WWII and a PhD in physics.

He worked at the storied Bell Labs, where he whipped up what became known as the Kelly criterion in 1956. The story is wonderfully told in William Poundstone's *Fortune's Formula*.

Kelly sought an answer to a question. Let us say a gambler has a tip-off as to how a race will likely go. It is not 100 percent reliable, but it does give him an edge. Assuming he can bet at the same odds as everyone else, how much of his bankroll should he bet?

Kelly's answer reduces to this, the risk taker's version of $E = mc^2$: